www.tntextbooks.in

**Solution**

**Working note:**

| Particulars | Debit ` |
|---|---|
| Sundry debtors | 1,04,000 |
| Less: Additional bad debts | 4,000 |
| | 1,00,000 |

Provision for bad and doubtful debts = ` 1,00,000 x 5/100 = ` 5,000

**Adjusting entry**

| Date | Particulars | | L.F. | Debit ` | Credit ` |
|---|---|---|---|---|---|
| 2016 Dec. 31 | Bad debts A/c | Dr. | | 4,000 | |
| | To Sundry debtors A/c | | | | 4,000 |
| | (Bad debts written off) | | | | |
| Dec. 31 | Provision for bad and doubtful debts A/c | Dr. | | 9,000 | |
| | To Bad debts A/c | | | | 9,000 |
| | (Bad debts transferred to provision for bad and doubtful debts account (5000 + 4000)) | | | | |
| Dec. 31 | Profit and Loss A/c | Dr. | | 12,000 | |
| | To Provision for bad and doubtful debts A/c | | | | 12,000 |
| | (Provision for bad and doubtful debts created) (9,000 + 5,000 - 2,000 = 12,000) | | | | |

**Dr. Profit and loss account for the year ended 31st December, 2016 Cr.**

| Particulars | ` | ` | Particulars | ` | ` |
|---|---|---|---|---|---|
| To Provision for bad and doubtful debts (closing) | 5,000 | | | | |
| Add: Bad debts | 5,000 | | | | |
| Add: Additional bad debts | 4,000 | | | | |
| | 14,000 | | | | |
| Less: Provision for bad and doubtful debts (Opening) | 2,000 | 12,000 | | | |